Session 2 – Introduction to SHRM

Session Objectives

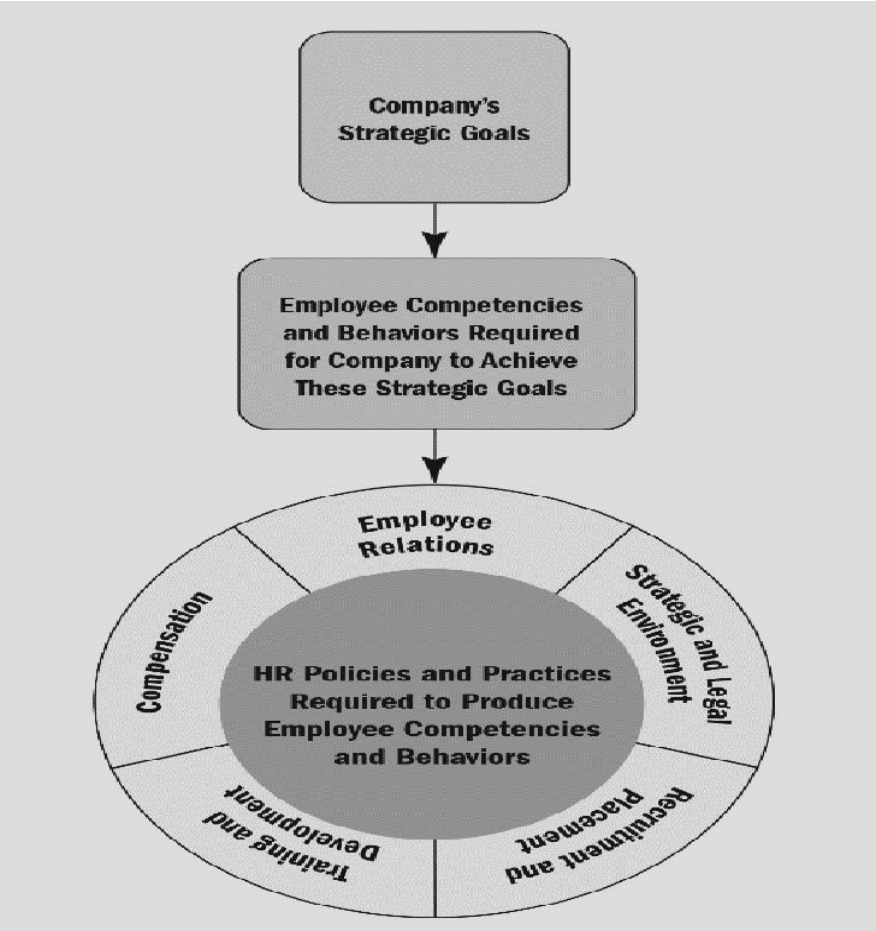
- LO1 Recognize the strategic importance of HRM and its alignment with organizational goals through various models
- LO2 Understanding the role of HR in enabling business outcomes.

What is SHRM?

- Strategic human resource management – means formulating and executing human resource policies and practices that produce the employee competencies and behaviours the company needs to achieve its strategic aims
- Organizations can gain competitive advantage by effectively managing their resources

What is SHRM?

Strategic human resource management combines strategic planning with human resources planning to ensure that human resource management policies, procedures, practices and decision-making is supporting the organization's overall strategic plan.



Strategic Human Resource Management

Technical / Traditional HRM

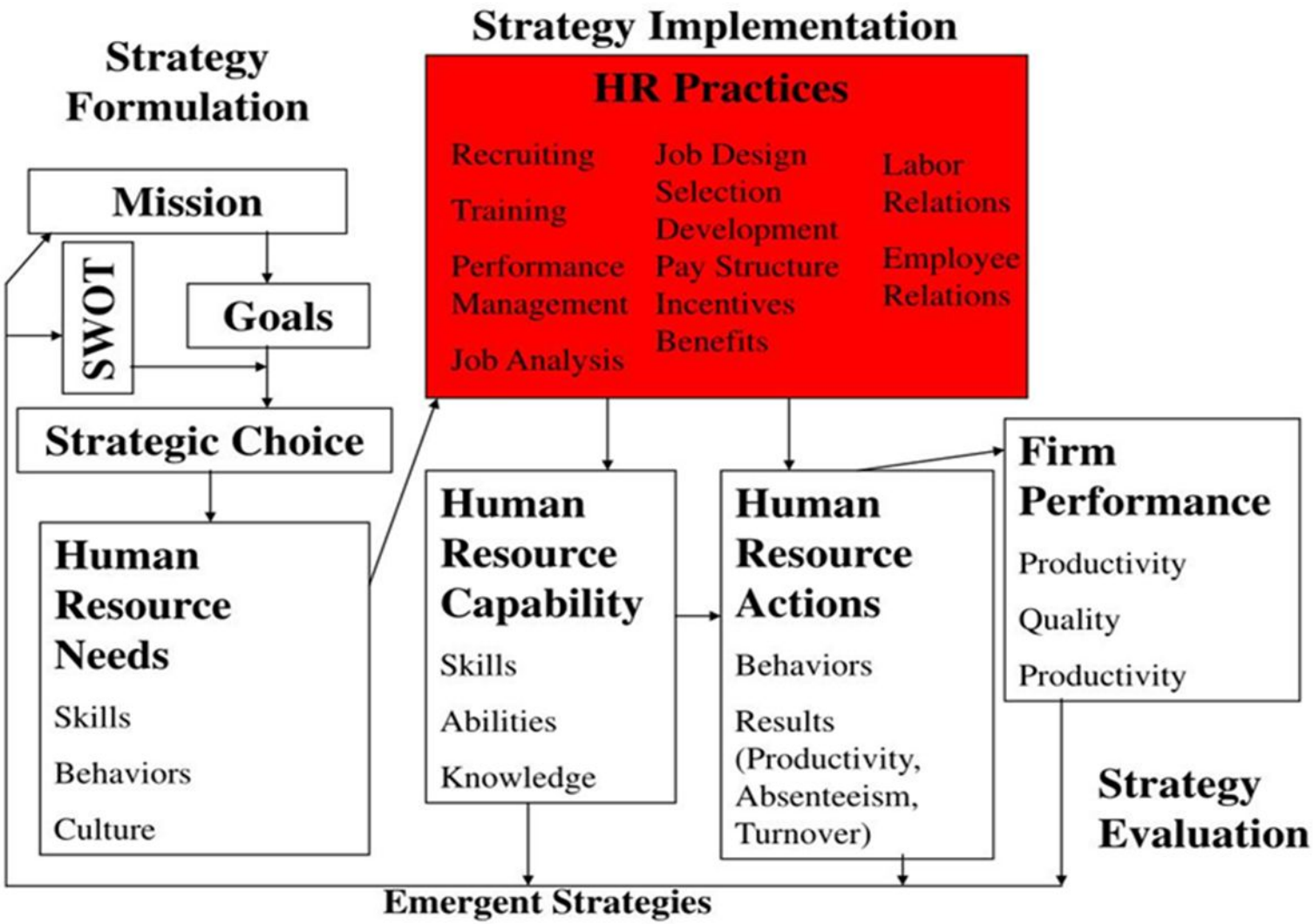
Regulatory role and function related to:

- Recruitment
- Selection
- Performance Management
- Training
- Administration of compensation and benefits

Strategic Human Resource Managem ent

Designing, and Implementing
a set of internally consistent policies and practices which ensure that a firm's human capital contributes to the achievement of its business objectives

SHRM model


Strategy Formulation
Strategy Implementation
Mission
SWOT
Goals
Strategic Choice
HR Practices
Recruiting
Training
Performance Management
Job Analysis
Job Design
Selection
Development
Pay Structure
Incentives
Benefits
Labor Relations
Employee Relations
Human Resource Needs
Skills
Behaviors
Culture
Human Resource Capability
Skills
Abilities
Knowledge
Human Resource Actions
Behaviors
Results (Productivity, Absenteeism, Turnover)
Firm Performance
Productivity
Quality
Productivity
Strategy Evaluation
Emergent Strategies

Implications of Strategic Decisions on HR Practices

Strategic Decision		Implications on HR Practices
Pursue low-cost competitive strategy	→	Provide lower compensation Negotiate give-backs in labor relations Provide training to improve efficiency
Pursue service quality differentiation competitive strategy	→	Provide high compensation Recruit top-quality candidates Evaluate performance on the basis of patient satisfaction Provide training in guest relations
Pursue growth through acquisition	→	Adjust compensation Select candidates from acquired organization Outplace redundant workers Provide training to new employees
Pursue growth through development of new markets	→	Promote existing employees on the basis of an objective performance-appraisal system
Purchase new technology	→	Provide training in using and maintaining the technology
Offer new service/product line	→	Recruit and select physicians and other personnel
Increase productivity and cost effectiveness through process improvement	→	Encourage work teams to be innovative Take risks Assume a long-term perspective

Role of HR – Traditional vs Strategic

Ulrichs' model

- To overcome this reputation, he argues that HR must adopt these four roles;

The Shanghai Ritz-Carlton Portman hotel

When the Ritz-Carlton Company took over managing the Portman Hotel in Shanghai, China, the new management reviewed the Portman's strengths and weaknesses, and its fast-improving local competitors. They decided that in order to compete, they had to improve the hotel's level of service. Achieving that meant formulating new human resource management plans for hiring, training, and rewarding hotel employees. It meant putting in place a new human resource strategy for the Portman Hotel, one aimed at improving customer service.

Their HR strategy involved taking these steps:

● *Strategically*, they set the goal of making the Shanghai Portman outstanding by offering superior customer service.

● To achieve this, Shanghai Portman employees would have to exhibit new *skills and behaviors*, for instance, in terms of how they treated and responded to guests.

● To produce these employee skills and behaviors, management formulated new human resource management *plans, policies, and procedures*. For example, they introduced the Ritz-Carlton Company's *human resource system* to the Portman: "Our selection [now] focuses on talent and personal values because these are things that can't be taught … it's about caring for and respecting others." Management's efforts paid off.

Their new human resource plans and practices helped to produce the employee behaviors required to improve the Portman's level of service, thus attracting new guests. Travel publications were soon calling it the "best employer in Asia," "overall best business hotel in Asia," and "best business hotel in China." Profits soared, in no small part due to effective strategic human resource management.

- When your strategy involves selling shoes and clothes online to people who can't try them on, you need employees who are energized and enjoy what they're doing—Zappos wants employees to deliver "WOW" through service. That's why Zappos' founders knew they needed special methods for hiring, developing, and retaining employees, and that's just what they created. As their Website says, "This ain't your mama's HR! Recruiting, benefits, and employee relations keep this cruise ship afloat with fun, inventive ways of getting employees motivated and educated about the Zappos Family of companies, their benefits, and the other fun stuff going on around here!"
- While they may not appeal to everyone, these "fun, inventive techniques" include interviewing job applicants in what looks like the set of a talk show, asking employees to submit their own designs for Steve Madden shoes, and (during Zappos' annual "Bald & Blue Day") having some employees volunteer to shave their heads or dye their hair blue. And, by the way, if you're not happy working at Zappos, the company will pay you to leave—it wants no one there who doesn't truly want to be there. Again, that may not be for everyone, but it works for Zappos. It knows that selling online successfully requires energized employees who really enjoy what they're doing. Management uses these special HR practices to cultivate the energized and fun environment that Zappos needs to execute its strategy, and judging from Zappos' success, they seem to be working.

SHRM tools

- Strategy map
- The HR scorecard
- Digital dashboards

HR Metrics, Benchmarking, and Data Analytics

- Human resource metrics – the quantitative gauge of a human resource management activity.
- Benchmarking – comparing the practices of high-performing companies' results to your own.
- Data Analytics – using statistical and mathematical analysis to find relationships and make predictions.

Metrics for the S H R M® 2011–2012 Customized Human Capital Benchmarking Report

SOMAIYA VIDYAVIHAR UNIVERSITY
K J Somaiya Institute of Management

Organizational Data

- Revenue
- Revenue per FTE
- Net Income Before Taxes
- Net Income Before Taxes per FTE
- Positions Included Within the Organization's Succession Plan

Employment Data

- Number of Positions Filled
- Time-to-Fill
- Cost-Per-Hire
- Employee Tenure
- Annual Overall Turnover Rate
- Annual Voluntary Turnover Rate
- Annual Involuntary Turnover Rate

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HR Department Data

- Total HR Staff
- HR-to-Employee Ratio
- Percentage of HR Staff in Supervisory Roles
- Percentage of HR Staff in Professional/Technical Roles
- Percentage of HR Staff in Administrative Support Roles
- Reporting Structure for the Head of HR
- Types of HR Positions Organizations Expect to Hire in 2011

Expectations for Revenue and Organizational Hiring

- Percentage of Organizations Expecting Changes in Revenue in 2011 Compared to 2010
- Percentage of Organizations Expecting Changes in Hiring in
- 2011 Compared to 2010

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HR Expense Data

- HR Expenses
- HR Expense to Operating Expense Ratio
- HR Expense to FTE Ratio

Compensation Data

- Annual Salary Increase
- Salaries as a Percentage of Operating Expense
- Target Bonus for Non-Executives
- Target Bonus for Executives

Metrics for More Profitable Organizations

- Total HR Staff
- HR-to-Employee Ratio
- HR Expenses
- HR Expense to Operating Expense Ratio
- HR Expense to FTE Ratio
- Annual Salary Increase
- Target Bonus for Non-Executives

Thank You